CAMBRIDGE
International Education

# Cambridge International AS & A Level

**BUSINESS** **9609/12**

Paper 1 Business Concepts 1 **February/March 2026**

MARK SCHEME

Maximum Mark: 40

**Published**

This mark scheme is published as an aid to teachers and candidates, to indicate the requirements of the examination. It shows the basis on which Examiners were instructed to award marks. It does not indicate the details of the discussions that took place at an Examiners' meeting before marking began, which would have considered the acceptability of alternative answers.

Mark schemes should be read in conjunction with the question paper and the Principal Examiner Report for Teachers.

Cambridge International will not enter into discussions about these mark schemes.

Cambridge International is publishing the mark schemes for the February/March 2026 series for most Cambridge IGCSE, Cambridge International A and AS Level components, and some Cambridge O Level components.

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## Generic Marking Principles

These general marking principles must be applied by all examiners when marking candidate answers. They should be applied alongside the specific content of the mark scheme or generic level descriptions for a question. Each question paper and mark scheme will also comply with these marking principles.

GENERIC MARKING PRINCIPLE 1:

Marks must be awarded in line with:

- the specific content of the mark scheme or the generic level descriptors for the question
- the specific skills defined in the mark scheme or in the generic level descriptors for the question
- the standard of response required by a candidate as exemplified by the standardisation scripts.

GENERIC MARKING PRINCIPLE 2:

Marks awarded are always **whole marks** (not half marks, or other fractions).

GENERIC MARKING PRINCIPLE 3:

Marks must be awarded **positively**:

- marks are awarded for correct/valid answers, as defined in the mark scheme. However, credit is given for valid answers which go beyond the scope of the syllabus and mark scheme, referring to your Team Leader as appropriate
- marks are awarded when candidates clearly demonstrate what they know and can do
- marks are not deducted for errors
- marks are not deducted for omissions
- answers should only be judged on the quality of spelling, punctuation and grammar when these features are specifically assessed by the question as indicated by the mark scheme. The meaning, however, should be unambiguous.

GENERIC MARKING PRINCIPLE 4:

Rules must be applied consistently, e.g. in situations where candidates have not followed instructions or in the application of generic level descriptors.

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| |
|---|
| GENERIC MARKING PRINCIPLE 5:<br><br>Marks should be awarded using the full range of marks defined in the mark scheme for the question (however; the use of the full mark range may be limited according to the quality of the candidate responses seen). |
| GENERIC MARKING PRINCIPLE 6:<br><br>Marks awarded are based solely on the requirements as defined in the mark scheme. Marks should not be awarded with grade thresholds or grade descriptors in mind. |

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**Social Science-Specific Marking Principles**
**(for point-based marking)**

**1 Components using point-based marking:**

- Point marking is often used to reward knowledge, understanding and application of skills. We give credit where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. We do not give credit where the answer shows confusion.

From this it follows that we:

**a** DO credit answers which are worded differently from the mark scheme if they clearly convey the same meaning (unless the mark scheme requires a specific term)
**b** DO credit alternative answers/examples which are not written in the mark scheme if they are correct
**c** DO credit answers where candidates give more than one correct answer in one prompt/numbered/scaffolded space where extended writing is required rather than list-type answers. For example, questions that require *n* reasons (e.g. State two reasons …).
**d** DO NOT credit answers simply for using a 'key term' unless that is all that is required. (Check for evidence it is understood and not used wrongly.)
**e** DO NOT credit answers which are obviously self-contradicting or trying to cover all possibilities
**f** DO NOT give further credit for what is effectively repetition of a correct point already credited unless the language itself is being tested. This applies equally to 'mirror statements' (i.e. polluted/not polluted).
**g** DO NOT require spellings to be correct, unless this is part of the test. However spellings of syllabus terms must allow for clear and unambiguous separation from other syllabus terms with which they may be confused (e.g. Corrasion/Corrosion)

**2 Presentation of mark scheme:**

- Slashes (/) or the word 'or' separate alternative ways of making the same point.
- Semi colons (;) bullet points (•) or figures in brackets (1) separate different points.
- Content in the answer column in brackets is for examiner information/context to clarify the marking but is not required to earn the mark (except Accounting syllabuses where they indicate negative numbers).

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**3 Calculation questions:**

- The mark scheme will show the steps in the most likely correct method(s), the mark for each step, the correct answer(s) and the mark for each answer
- If working/explanation is considered essential for full credit, this will be indicated in the question paper and in the mark scheme. In all other instances, the correct answer to a calculation should be given full credit, even if no supporting working is shown.
- Where the candidate uses a valid method which is not covered by the mark scheme, award equivalent marks for reaching equivalent stages.
- Where an answer makes use of a candidate's own incorrect figure from previous working, the 'own figure rule' applies: full marks will be given if a correct and complete method is used. Further guidance will be included in the mark scheme where necessary and any exceptions to this general principle will be noted.

**4 Annotation:**

- For point marking, ticks can be used to indicate correct answers and crosses can be used to indicate wrong answers. There is no direct relationship between ticks and marks. Ticks have no defined meaning for levels of response marking.
- For levels of response marking, the level awarded should be annotated on the script.
- Other annotations will be used by examiners as agreed during standardisation, and the meaning will be understood by all examiners who marked that paper.

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**Annotations guidance for centres**

Examiners use a system of annotations as a shorthand for communicating their marking decisions to one another. Examiners are trained during the standardisation process on how and when to use annotations. The purpose of annotations is to inform the standardisation and monitoring processes and guide the supervising examiners when they are checking the work of examiners within their team. The meaning of annotations and how they are used is specific to each component and is understood by all examiners who mark the component.

We publish annotations in our mark schemes to help centres understand the annotations they may see on copies of scripts. Note that there may not be a direct correlation between the number of annotations on a script and the mark awarded. Similarly, the use of an annotation may not be an indication of the quality of the response.

The annotations listed below were available to examiners marking this component in this series.

**Annotations**

| Annotation | Meaning |
|---|---|
|  | Indicates a point which is relevant and rewardable. |
|  | Indicates a point which is inaccurate/irrelevant and not rewardable. |
| K | Indicates knowledge and understanding of the concepts and issues relating to the question. |
| APP | Indicates where application is made to an appropriate business context. |
| AN | Indicates where the answer has demonstrated analysis – **questions 4**, **5(a)**, **5(b)**, **6(a)** and **6(b)**. |
| EVAL | Indicates where the answer has demonstrated evaluation – (Section B Part (b) questions only). |
| BOD | Used when the benefit of the doubt is given in order to reward a response. |
| NAQ | Used when the answer or parts of the answer are not answering the question asked. |
| TV | Used when parts of the answer are considered to be too vague |
| SEEN | Indicates that content has been recognised but not rewarded. |

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| Annotation | Meaning |
|---|---|
| REP | Indicates where content has been repeated. |
| L1 | Indicates a Level 1 point is made. |
| L2 | Indicates a Level 2 point is made. |
| L3 | Indicates a Level 3 point is made. |
| Off page comment | **Used to view PE comments on practice scripts only** – displayed at the bottom of the screen when clicking the comments button/toggle. |

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**Guidance on using levels-based mark schemes**

Marking of work should be positive, rewarding achievement where possible, but clearly differentiating across the whole range of marks, where appropriate.

The examiner should look at the work and then make a judgement about which level statement is the best fit. In practice, work does not always match one level statement precisely so a judgement may need to be made between two or more level statements.

Once a best-fit level statement has been identified, use the following guidance to decide on a specific mark:

- If the candidate's work **convincingly** meets the level statement, award the highest mark.
- If the candidate's work **adequately** meets the level statement, award the most appropriate mark in the middle of the range.
- If the candidate's work **just** meets the level statement, award the lowest mark.
- L1, L2 etc. must be clearly annotated on the response at the point where the level is achieved.

**Assessment objectives**

**AO1 Knowledge and understanding**
Demonstrate knowledge and understanding of business concepts, terms and theories.

**AO2 Application**
Apply knowledge and understanding of business concepts, terms and theories to problems and issues in a variety of familiar and unfamiliar business situations and contexts.

**AO3 Analysis**
Analyse business problems, issues and situations by:
- using appropriate methods and techniques to make sense of qualitative and quantitative business information
- searching for causes, impact and consequences
- distinguishing between factual evidence and opinion or value judgement
- drawing valid inferences and making valid generalisations.

**AO4 Evaluation**
Evaluate evidence in order to make reasoned judgements, present substantiated conclusions and, where appropriate, make recommendations for action and implementation.

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**Mark Grids for Section A**

**Used for Q1(a), Q2(a) and Q3(a)**

**Two marks in total can be awarded for these questions. Ticks (✔) are used to show where the candidate has been given these marks.**

| AO1 Knowledge and understanding | Marks | |
|---|---|---|
| Knowledge of the term that demonstrates a clear understanding of the term. | **2** | Indicated by 2 ✔ ✔ where appropriate in the answer |
| Knowledge of the term that demonstrates a partial understanding of the term. | **1** | Indicated by 1 ✔ where appropriate in the answer |
| No creditable response. | **0** | |

**Used for Q1(b), Q2(b) and Q3(b)**

**Three marks in total can be awarded for these questions. Ticks (✔) are used to show where the candidate has been given these marks.**

| AO1 Knowledge and understanding<br>1 mark | AO2 Application<br>2 marks |
|---|---|
| | **2 marks**<br>Developed application of **one** relevant point to a business context.<br>Indicated by a further ✔ where appropriate in the answer |
| **1 mark**<br>Knowledge of **one** relevant point is used to answer the question.<br>Indicated by 1 ✔ where appropriate in the answer | **1 mark**<br>Limited application of **one** relevant point to a business context.<br>Indicated by 1 ✔ where appropriate in the answer |
| **0 marks**<br>No creditable response. | **0 marks**<br>No creditable response. |

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| Question | Answer | Marks |
|---|---|---|
| 1(a) | **Define the term *public sector*.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding**<br><br>**CLEAR UNDERSTANDING (2 marks)**<br><br>• organisations accountable to and run/owned/controlled by central or local government (the state) (2)<br>• the part of the economy composed of both public services and public enterprises; may be supported by examples eg police or medical services (2)<br>• the sector in which goods and services are provided by the state/government (2)<br>• providing essential services for the wellbeing of the public rather than being profit focused (2)<br><br>Clear understanding of the term *public sector* is worth 2 marks. This is indicated by 2 ticks ✔ ✔.<br><br>**PARTIAL UNDERSTANDING (1 mark)**<br><br>• businesses which are not controlled by private individuals/not in the private sector (1)<br><br>Partial understanding of the term *public sector* is worth 1 mark. This is indicated by 1 tick ✔.<br><br>**PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT**<br><br>Accept all valid responses. | **2** |

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| Question | Answer | Marks |
|---|---|---|
| 1(b) | **Explain <u>one</u> key element of a business plan.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 1 mark for identifying ONE element**<br><br>Elements may include:<br>• executive summary<br>• outline of owners<br>• overview of business idea/objectives/targets<br>• products and services<br>• analysis of market conditions<br>• plans for promotion<br>• estimate of sales<br>• financial forecasting<br>• human resource requirements<br><br>**AO2 Application – 2 marks for a DEVELOPED explanation of ONE element**<br>**– 1 mark for a LIMITED explanation of ONE element**<br><br>• background and experience of owners to show ability to run the business<br>• explains the focus and purpose of the business/what it is aiming to achieve<br>• what products and services the business will sell relating to ability to produce them<br>• positioning of the business and its products within the market linking to external environment<br>• promotion methods to gain consumer interest and sales<br>• prediction of demand and sales revenue for one year, possibly longer | **3** |
| 1(b) | • cash flow forecast, profit forecast and statement of what the business owes and owns<br>• number of employees needed to work in the business, experience and skills to suit the business requirements<br><br>Accept all valid responses. | |

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| Question | Answer | Marks |
|---|---|---|
| 2(a) | **Define the term *channel of distribution*.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding**<br><br>**CLEAR UNDERSTANDING (2 marks)**<br><br>• how a product moves from producer to customer/consumer/B2B/B2C (2)<br>• chain of intermediaries a product passes through from producer to final consumer (2)<br><br>Clear understanding of the term *channel* of *distribution* is worth 2 marks. This is indicated by 2 ticks ✔ ✔.<br><br>**PARTIAL UNDERSTANDING (1 mark)**<br><br>• place element in the marketing mix (1)<br>• producer / manufacturer / wholesaler / retailer / consumer (1)<br><br>Partial understanding of the term *channel of distribution* is worth 1 mark. This is indicated by 1 tick ✔.<br><br>Accept all valid responses. | **2** |

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| Question | Answer | Marks |
|---|---|---|
| 2(b) | **Explain <u>one</u> stage of the product life cycle.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 1 mark for identifying ONE stage.**<br><br>Stages may include:<br>• research / development<br>• introduction / launch<br>• growth<br>• maturity / saturation<br>• decline<br><br>**NOTE:** ***no AO1 mark for 'recession'. However, if accurate explanation of decline follows this should be credited.***<br><br>**AO2 Application – 2 marks for DEVELOPED explanation of ONE stage.**<br>**– 1 mark for LIMITED explanation of ONE stage.**<br><br>• ideas/tests/prototypes – takes time/costly/high risk/many ideas abandoned<br>• put on sale/promotion costly/difficult to get retailers to stock/customers to buy<br>• sales grow with popularity/easier to get stocked and sell/profits start<br>• sales growth slows/similar products on market/could last a long time<br>• sales fall/distribution difficult/price cuts/extend or remove from portfolio<br><br>Accept all valid responses. | **3** |

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| Question | Answer | Marks |
|---|---|---|
| 3(a) | **Define the term *JIC (Just in Case)*.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding**<br><br>**CLEAR UNDERSTANDING (2 marks)**<br><br>• inventory management system that focuses on keeping a large amount of / extra inventory (2)<br>• inventory management system that enables a business to respond to unexpected demand (2)<br>• where a business keeps a large amount of / extra inventory to minimise the risk of running out (2)<br><br>Clear understanding of the term *JIC (Just in Case)* is worth 2 marks. This is indicated by 2 ticks ✔ ✔.<br><br>**PARTIAL UNDERSTANDING (1 mark)**<br><br>• type of inventory management (1)<br>• keeping a lot of / extra inventory (1)<br><br>Partial understanding of the term *JIC (Just in Case)* is worth 1 mark. This is indicated by 1 tick ✔.<br><br>**PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT.**<br><br>Accept all valid responses. | **2** |

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| Question | Answer | Marks |
|---|---|---|
| 3(b) | **Explain <u>one</u> method of improving capacity utilisation.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 1 mark for identifying ONE method**<br><br>**NOTE:** ***updating machinery and improving technology are valid methods of improving capacity utilisation, but buying new machinery or reducing wastage are not valid methods of improving capacity utilisation and should not be credited***<br><br>Methods may include:<br>• increase marketing activities<br>• reduce level of capacity/rationalisation<br>• subcontract for other firms<br>• improve labour productivity<br>• make better use of current capital assets/servicing machinery/improved technology<br>• new product development<br>• produce more goods<br><br>**AO2 Application – 2 marks for DEVELOPED explanation of ONE method.**<br>**– 1 mark for LIMITED explanation of ONE method.**<br><br>• offers, advertising, sales – increases demand, more production/using resources more fully so improving capacity utilisation<br>• reduce level of resources e.g. machinery/equipment/labour so remaining resources more fully utilised<br>• subcontract – use resources to complete work for other businesses/resources are used to capacity<br>• better motivated workers, train employees to make them work harder/better<br>• no machinery left idle, better maintenance of equipment, upgraded software, latest technology<br>• introduce new product line to utilise idle machinery<br>• greater production improves ratio of goods actually produced to potential output<br><br>Accept all valid responses. | **3** |

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| Question | Answer | Marks |
|---|---|---|
| 4 | **Analyse <u>one</u> reason an employee might be motivated by status.**<br><br>***Note: no marks can be awarded if a relevant reason has not been identified***<br><br>**NOTE*: the analysis of this question should focus on the employee NOT on benefits to a business***<br><br>**Indicative content**<br><br>Responses may include:<br><br>**Knowledge and understanding – 1 mark for identifying ONE reason.**<br><br>Reasons may include:<br>• self-esteem/self-respect<br>• recognition<br>• personal advancement/self-actualisation<br>• promotion<br>• authority<br><br>**Application – 2 marks for a DEVELOPED application of ONE reason.**<br>**– 1 mark for LIMITED application of ONE reason.**<br><br>• feels satisfied to have achieved this position in hierarchy<br>• recognised by management and others by position/job title in hierarchy<br>• personal goal achieved/position in the hierarchy<br>• better pay and benefits for promotion to higher status job position<br>• gain power and authority over others due to position in hierarchy | **5** |

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| Question | Answer | Marks |
|---|---|---|
| 4 | **Analysis – 2 marks for DEVELOPED analysis of ONE reason**<br>**– 1 mark for LIMITED analysis of ONE reason.**<br><br>• self-esteem is a higher level of need of Maslow's hierarchy. Employee feels good about themselves for having status and may work harder to maintain or achieve even higher status<br>• status is recognised and usually respected by other employees making employees feel important<br>• responsibility comes with status. Promotion to highest position employee planned to achieve<br>• satisfies physiological needs to earn more money and improve lifestyle<br>• some people are motivated by power and the need to control others, make decisions<br><br>Accept all valid responses. | |
| 5(a) | **Analyse <u>two</u> reasons why a lack of finance may lead to business failure.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 1 mark for identifying ONE reason.**<br><br>Reasons include:<br>• negative cashflow<br>• lack of working capital<br>• cannot respond to unexpected events<br>• lack of investment<br><br>**AO2 Application – 1 mark for application/explanation of ONE reason.**<br><br>• more money leaving the business than coming in<br>• cannot get loans, buy inventory/pay suppliers, pay employees<br>• e.g. inflation, reduced revenue, increased costs<br>• no technology updates or growth | **8** |

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| Question | Answer | Marks |
|---|---|---|
| 5(a) | **AO3 Analysis – up to 2 marks for analysis of ONE reason – 2 marks for DEVELOPED analysis of ONE reason (L2 AN) or 1 mark for LIMITED analysis of ONE reason (L1 AN).**<br><br>• will not have enough money to operate/pay creditors and the legal process of bankruptcy may occur. The business is forced to stop trading<br><br>• banks will not lend money, banks will not have confidence in the business to repay the loan and interest so will not lend money to the business, either long term loan or short term overdraft<br>• suppliers will not sell to the business suppliers will not give credit to allow time to pay and without inventory the business must cease production therefore no products to sell<br>• with no wages employees will refuse to work and find employment with other businesses if possible. Without employees the business cannot produce products<br>• with unexpected events the business may suffer from reduced demand/revenue and increased costs therefore needs access to finance to survive them. If this is unavailable the business will become insolvent<br>• productivity might fall as equipment becomes outdated and business will lose competitiveness in the market<br><br>Accept all valid responses. | |

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| Question | Answer | Marks |
|---|---|---|
| 5(b) | **Evaluate whether using internal sources of finance is the most appropriate way to fund the growth of a pharmaceutical business.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 2 marks for DEVELOPED knowledge and understanding (L2 K) – 1 mark for LIMITED knowledge and understanding (L1 K)**<br><br>• raised from within the business<br>• internal finance e.g. owners' investment, retained earnings, sale of assets, sale and leaseback of non-current assets, working capital<br>• external finance e.g. loan, share capital<br>• growth e.g. getting bigger/business expansion/increase in size<br><br>**AO2 Application – 2 marks for DEVELOPED application/context (L2 APP) – 1 mark for LIMITED application/context (L1 APP)**<br><br>• researching, developing, manufacturing and distributing medicines/drugs for human and animal use<br>• named pharmaceutical businesses – GSK, Pharma, AstraZeneca, Pfizer | **12** |

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>5(b)</td><td>

- scientists, lab machinery, microscopes
- such businesses are often subject to price intervention or price control by governments

**AO3 Analysis – 2 marks for DEVELOPED analysis (L2 AN) – 1 mark for LIMITED analysis (L1 AN)**

- usually very large business which may have been trading for many years, therefore has a good reputation and possibly available internal finance
- usually have shareholders who provide external not internal finance and expect share of profit (dividend) so less retained earnings available
- profitable due to high prices charged for drugs but this initially is used to pay back considerable R&D costs. After that there is likely to be retained earnings which are saved with the intention of growing the business so growth could be rapid if retained earnings are high enough
- have lots of assets which could be sold if not in use or if they are outdated. Pharmaceutical business likely to need latest technology therefore constant updating is necessary. Rapid growth would need money to buy latest equipment
- not all non-current assets will be in constant use and sale and leaseback could be used. This gives an inflow of cash but higher costs due to leasing fee. Any spare capacity would allow these assets to be used to produce drugs for other businesses. Can give money for growth which would then generate more revenue
- long R&D and testing process, often many years before drugs have reached the launch stage. May not have available working capital as all income is spent on overheads
- rapid growth needs large amount of accessible finance and working capital is usually for running the business not growing it

**AO4 Evaluation – Up to 6 marks for EVALUATION – USE THE FOLLOWING TABLE:**

| | | |
|---|---|---|
| Developed/Supported judgement in context | L3 EVAL | 6 marks |
| Developed/Reasonable evaluative comments in context | L3 EVAL | 5 marks |
| Developed/Supported judgement without context | L2 EVAL | 4 marks |
| Developed/Reasonable evaluative comments without context | L2 EVAL | 3 marks |
| Limited supported judgement | L1 EVAL | 2 marks |
| An attempt to balance the arguments/Weak attempt at evaluative comments | L1 EVAL | 1 mark |

</td><td></td></tr>
</table>

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| Question | Answer | Marks |
|---|---|---|
| 5(b) | *A judgment/conclusion is made as to whether using internal sources of finance is the most appropriate way to fund the rapid growth of a pharmaceutical business.*<br>*These judgements/conclusions may be made at any point in the essay, not only in a concluding section.*<br><br>• will depend on how established the business is – a large, profitable business may find it easy to get a loan at low interest rate (external finance)<br>• how many successful and profitable products (cash cows) it has got to provide finance for growth. If the rapid growth is development of another product the cash cow profit will often be used to fund it<br>• what is needed for the rapid growth – bigger premises, more equipment, more workforce, expansion abroad. Leasing can be better in an industry where machinery and equipment is constantly being updated<br>• whether the business can raise enough money internally – rapid growth in the industry is likely to be expensive, normally a loan or more shareholders would be a preferred option<br>• in a successful, profitable business the shareholders would probably be willing to buy more shares to raise finance (external)<br>• may be government funding available within this industry due to public health benefits<br><br>Accept all valid responses. | |

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| Question | Answer | Marks |
|---|---|---|
| 6(a) | **Analyse <u>two</u> disadvantages to a potential franchisee of buying into a franchise.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 1 mark for identifying ONE disadvantage (K)**<br><br>• share profit or revenue<br>• expensive to buy<br>• some promotion costs<br>• no choice of supplier<br>• standard format of business<br><br>**AO2 Application – 1 mark for application of ONE disadvantage (APP)**<br><br>• percentage paid to franchisor every year<br>• initial licence fee can be high<br>• local promotions will have to be paid<br>• franchisee has to use approved supplier<br>• franchisor has strict rules over pricing and layout | **8** |

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| Question | Answer | Marks |
|---|---|---|
| 6(a) | **AO3 Analysis – up to 2 marks for analysis of each limitation – 2 marks for DEVELOPED analysis of each disadvantage (L2 AN) – 1 mark for LIMITED analysis of each disadvantage (L1 AN)**<br><br>• franchisor must earn high amount of revenue and/or profit to make it financially worthwhile. May not earn as much as setting up as a sole trader where all profit would be kept<br>• well known large businesses charge a high fee for buying the right to use the name, logo and trading systems. A potential business owner may not be able to afford or borrow the money to pay this<br>• franchisor will produce national/international promotions but local area promotions are paid for by franchisee. Increases the overhead costs<br>• franchisor has established suppliers which franchisee must use to keep the format of the business the same. May be more expensive than if franchisee could look around for cheaper suppliers<br>• prices and layout cannot be adjusted to suit the local environment and needs of local customers. Could make the franchise less popular and reduce revenue and profit<br><br>Accept all valid responses. | |

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| Question | Answer | Marks |
|---|---|---|
| 6(b) | **Evaluate whether owners are the most important stakeholders in a private school.**<br><br>**Indicative content**<br><br>Responses may include:<br><br>**AO1 Knowledge and understanding – 2 marks for DEVELOPED knowledge and understanding (L2 K) – 1 mark for LIMITED knowledge and understanding (L1 K)**<br><br>• Stakeholders include: owners/shareholders, employees, suppliers, customers, community, government, special interest groups – pressure groups, lenders<br><br>**AO2 Application – 2 marks for DEVELOPED application/context (L2 APP) – 1 mark for LIMITED application/context (L1 APP)**<br><br>• school – teachers, students, examinations, parents, lessons, education<br><br>**AO3 Analysis – 2 marks for DEVELOPED analysis (L2 AN) – 1 mark for LIMITED analysis (L1 AN)**<br><br>• owners have invested money and expect return on profits (dividends). Without their money the school would not exist. They can contribute more money (or buy more shares if shareholders) in order to fund expansion of the school | **12** |

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<table>
<tr><th>Question</th><th>Answer</th><th>Marks</th></tr>
<tr><td>6(b)</td><td>

- teachers vital to run the school and teach students. Without their knowledge and expertise the school could not operate
- suppliers provide all the equipment the school needs – stationery, furniture, computers – without them the school could not operate because it lacks all the facilities
- customers (students/parents) are necessary as this is the whole reason for the school to exist. Without their demand the building of the school would be a waste of money. If parents are not paying the school fees there will be no income to pay the costs of running the school
- community benefits from access to the school for the local families but may have more traffic on the roads. They are affected and their views need to be taken into account before building the school and once it is running
- government will earn tax from the school and educated students will aid the economy of the country. The government may contribute to the running of the school even though it is a private school if the benefits are thought to be great enough
- special interest groups such as lenders may be affected if the school has insufficient money to operate or there is industrial action by employees which trade unions become involved in

**AO4 Evaluation – Up to 6 marks for EVALUATION – USE THE FOLLOWING TABLE:**

| | | |
|---|---|---|
| Developed/Supported judgement in context | L3 EVAL | 6 marks |
| Developed/Reasonable evaluative comments in context | L3 EVAL | 5 marks |
| Developed/Supported judgement without context | L2 EVAL | 4 marks |
| Developed/Reasonable evaluative comments without context | L2 EVAL | 3 marks |
| Limited supported judgement | L1 EVAL | 2 marks |
| An attempt to balance the arguments/Weak attempt at evaluative comments | L1 EVAL | 1 mark |

*A judgment/conclusion is made as to whether owners are the most important stakeholders in a private school. These judgements/conclusions may be made at any point in the essay, not only in a concluding section.*

- difficult to say that any one stakeholder is more important than another, they are interdependent in order to establish and make the school a success

</td><td></td></tr>
</table>

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| Question | Answer | Marks |
|---|---|---|
| 6(b) | • owners have different objectives – may have only invested to make money but may want to offer the best education possible. The latter will value other stakeholders<br>• once the school is built and equipped it becomes the teachers, students who are the most important stakeholders<br><br>Accept all valid responses. | |



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**Mark Grids for Section B**

**Used for Q5(a) and Q6(a)**

| Level | AO1 Knowledge and understanding<br>2 marks | AO2 Application<br>2 marks | AO3 Analysis<br>4 marks |
|---|---|---|---|
| 2 | | | **3–4 marks**<br>**Developed analysis**<br>• Developed analysis that identifies connections between causes, impacts and/or consequences of **two** points.<br>• Developed analysis that identifies connections between causes, impacts and/or consequences of **one** point. |
| 1 | **1–2 marks**<br>• Knowledge of **two** relevant points is used to answer the question.<br>• Knowledge of **one** relevant point is used to answer the question. | **1–2 marks**<br>• Application of **two** relevant points to a business context.<br>• Application of **one** relevant point to a business context. | **1–2 marks**<br>**Limited analysis**<br>• Limited analysis that identifies connections between causes, impacts and/or consequences of **two** points.<br>• Limited analysis that identifies connections between causes, impacts and/or consequences of **one** point. |
| 0 | **0 marks**<br>No creditable response. | **0 marks**<br>No creditable response. | **0 marks**<br>No creditable response. |

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**Mark Grids for Section B**

**Used for Q5(b) and Q6(b)**

| Level | AO1 Knowledge and understanding<br>2 marks | AO2 Application<br>2 marks | AO3 Analysis<br>2 marks | AO4 Evaluation<br>6 marks |
|---|---|---|---|---|
| 3 | | | | **5–6 marks**<br>**Developed evaluation in context**<br>• A developed judgement/conclusion is made in the business context.<br>• Developed evaluative comments which balance some key arguments in the business context. |
| 2 | **2 marks**<br>**Developed knowledge** of relevant key term(s) and/or factor(s) is used to answer the question. | **2 marks**<br>**Developed application** of relevant point(s) to the business context. | **2 marks**<br>**Developed analysis** that identifies connections between causes, impacts and/or consequences. | **3–4 marks**<br>**Developed evaluation**<br>• A developed judgement/conclusion is made.<br>• Developed evaluative comments which balance some key arguments. |
| 1 | **1 mark**<br>**Limited knowledge** of relevant key term(s) and/or factor(s) is used to answer the question. | **1 mark**<br>**Limited application** of relevant point(s) to the business context. | **1 mark**<br>**Limited analysis** that identifies connections between causes, impacts and/or consequences. | **1–2 marks**<br>**Limited evaluation**<br>• A judgement/conclusion is made with limited supporting comment/evidence.<br>• An attempt is made to balance the arguments. |
| 0 | **0 marks**<br>No creditable response. | **0 marks**<br>No creditable response. | **0 marks**<br>No creditable response. | **0 marks**<br>No creditable response. |

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